

INDEPENDENT AUDITOR'S REPORT

To the Members of Granules Omnichem Private Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Granules Omnichem Private Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2016, the Statement of Profit and Loss and Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial control that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder. We conducted our audit in accordance with the Standards on Auditing, issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India of the state of affairs of the Company as at March 31, 2016, its loss and its cash flows for the year ended on that date.



Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the Annexure 1 a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by section 143 (3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - (b) In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - (c) The Balance Sheet, Statement of Profit and Loss, and Cash Flow Statement dealt with by this Report are in agreement with the books of account;
 - (d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014;
 - (e) On the basis of written representations received from the directors as on March 31, 2016, and taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2016, from being appointed as a director in terms of section 164 (2) of the Act;
 - (f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure 2" to this report;
 - (g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i) The Company does not have any pending litigations which would impact its financial position;
 - ii) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii) There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

For **S.R. Batliboi & Associates LLP**

Chartered Accountants

ICAI Firm Registration Number: 101049W


per Navneet Rai Kabra
Partner
Membership No.: 102328



Place: Hyderabad

Date: April 25, 2016

Annexure 1 referred to in our report of even date

Re: Granules Omnichem Private Limited ('the Company')

- (i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- (b) All fixed assets have not been physically verified by the management during the year but there is a regular programme of verification which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
- (c) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to information and explanations given by the management, the title deeds of immovable properties are held in the name of the company.
- (ii) The management has conducted physical verification of inventory at reasonable intervals during the year and no material discrepancies were noticed on such physical verification.
- (iii) (a) According to the information and explanations given to us, the Company has not granted any loans, secured or unsecured to companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under section 189 of the Companies Act, 2013. Accordingly, the provisions of clause 3(iii)(a), (b) and (c) of the Order are not applicable to the Company and hence not commented upon.
- (iv) In our opinion and according to the information and explanations given to us, there are no loans, investments, guarantees, and securities granted in respect of which provisions of section 185 and 186 of the Companies Act 2013 are applicable and hence not commented upon.
- (v) The Company has not accepted any deposits from the public.
- (vi) To the best of our knowledge and as explained, the Central Government has not specified the maintenance of cost records under clause 148(1) of the Companies Act, 2013, for the products of the Company.
- (vii) (a) Undisputed statutory dues including provident fund, employees' state insurance, income-tax, sales-tax, wealth-tax, service tax, duty of custom, duty of excise, value added tax, cess and other material statutory dues have generally been regularly deposited with the appropriate authorities though there has been a slight delay in a few cases.
- (b) According to the information and explanations given to us, no undisputed amounts payable in respect of provident fund, employees' state insurance, income-tax, wealth-tax, service tax, sales-tax, duty of custom, duty of excise, value added tax, cess and other material statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.
- (c) According to the information and explanations given to us, there are no dues of income tax, sales-tax, wealth tax, service tax, customs duty, excise duty, value added tax and cess which have not been deposited on account of any dispute.
- (viii) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to information and explanations given by the



management, we are of the opinion that the Company has not defaulted in repayment of dues to a financial institution, bank or debenture holders or government.

- (ix) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management and on an overall examination of the balance sheet, we report that monies raised by way of term loans were applied for the purposes for which those were raised. The Company has not raised any monies by of initial public offer/further public offer/debt instrument.
- (x) Based upon the audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management, we report that no fraud on or by the officers and employees of the Company has been noticed or reported during the year.
- (xi) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management, we report that provisions of section 197 read with schedule V of Companies Act, 2013 is not applicable to the Company and hence not commented upon.
- (xii) In our opinion, the Company is not a nidhi company. Therefore, the provisions of clause 3(xi) of the order are not applicable to the Company and hence not commented upon.
- (xiii) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management, transactions with the related parties are in compliance with section 177 and 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards.
- (xiv) According to the information and explanations given to us and on an overall examination of the balance sheet, the company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year under review and hence not commented upon.
- (xv) Based on our audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management, the Company has not entered into any non-cash transactions with directors or persons connected with him.
- (xvi) According to the information and explanations given to us, the provisions of section 45-IA of the Reserve Bank of India Act, 1934 are not applicable to the Company.

For S.R. BATLIBOI & ASSOCIATES LLP

ICAI Firm registration number: 101049W

Chartered Accountants


per Navneet Rai Kabra
Partner
Membership No.: 102328



Place: Hyderabad

Date: April 25, 2016

**ANNEXURE 2 TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE
FINANCIAL STATEMENTS OF Granules Omnichem Private Limited**

**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the
Companies Act, 2013 ("the Act")**

To the Members of Granules Omnichem Private Limited

We have audited the internal financial controls over financial reporting of Granules Omnichem Private Limited ("the Company") as of March 31, 2016 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing as specified under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls system over financial reporting.



Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2016, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Explanatory paragraph

We also have audited, in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act, the financial statements of Granules Omnichem Private Limited, Company, which comprise the Balance Sheet as at March 31, 2016, and the related Statement of Profit and Loss and Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information, and our report dated April 25, 2016 expressed an unqualified opinion therein.

For S.R. Batliboi & Associates LLP
Chartered Accountants
ICAI Firm Registration Number: 101049W


per Navneet Rai Kabra
Partner
Membership Number: 102328



Place of Signature: Hyderabad
Date: April 25, 2016

Granules Omnichem Private Limited
Balance Sheet as at March 31, 2016
CIN: U24233AP2011PTC076274
(All amounts in Indian Rupees, unless otherwise stated)

	Notes	March 31 2016	March 31 2015
Equity and liabilities			
Shareholders' funds			
Share capital	3	857,619,340	754,619,340
Reserves and surplus	4	(159,133,827)	(32,516,656)
		698,485,513	722,102,684
Non-current liabilities			
Long-term borrowings	5	1,244,363,275	1,210,735,393
Long-term provisions	6	134,806	21,467
		1,244,498,081	1,210,756,860
Current liabilities			
Trade payables			
Total outstanding dues of micro enterprises and small enterprises	34	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	7	27,634,907	22,880,444
Other current liabilities	8	987,212,829	310,093,120
Short-term provisions	6	1,311,417	1,171,935
		1,016,159,153	334,145,499
TOTAL		2,959,142,747	2,267,005,043
ASSETS			
Non-current assets			
Fixed assets			
Tangible assets	9	1,924,086,583	1,548,565,632
Capital work-in-progress	10	7,824,927	572,857,153
Loans and advances	11	10,902,631	4,941,976
Other non-current assets	12	16,978,623	18,960,822
		1,959,792,764	2,145,325,583
Current assets			
Trade receivables	13	67,411,360	-
Inventories	14	801,024,837	41,664,545
Cash and bank balances	15	53,214,818	68,711,857
Loans and advances	11	33,772,724	2,128,673
Other current assets	12	43,926,244	9,174,385
		999,349,983	121,679,460
TOTAL		2,959,142,747	2,267,005,043
Summary of significant accounting policies	2.1		

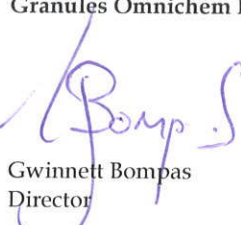
The accompanying notes are an integral part of the financial statements

As per our report of even date
For S.R. BATLIBOI & ASSOCIATES LLP
ICAI Firm registration number: 101049W
Chartered Accountants


Per Navneet Rai Kabra
Partner
Membership No. 102328



For and on behalf of the Board of Directors
Granules Omnichem Private Limited


Gwinnett Bompas
Director


C. Krishna Prasad
Director

Place: Hyderabad
Date: April 25, 2016

Place: Hyderabad
Date: April 25, 2016



Granules Omnichem Private Limited
Statement of Profit and Loss for the year ended March 31, 2016
CIN: U24233AP2011PTC076274
(All amounts in Indian Rupees, unless otherwise stated)

	Notes	March 31 2016	March 31 2015
Income			
Revenue from Operations	16	142,566,314	-
Other income	17	8,964,956	20,599,711
Total		151,531,270	20,599,711
Expenses			
Cost of raw materials consumed	.	497,426,223	-
Changes in inventories of finished goods and work in process	18	(545,477,050)	-
Employee benefit expenses	19	41,425,702	4,745,108
Other expenses	20	144,315,345	15,956,414
Finance Costs	21	64,705,058	8,415,278
Depreciation and amortisation expense	22	75,753,163	4,230,333
Total		278,148,441	33,347,133
Loss before tax		(126,617,171)	(12,747,422)
Tax Expenses			
Current Tax		-	-
Deferred tax		-	-
Total tax expenses		-	-
Net loss after tax		(126,617,171)	(12,747,422)
Earnings per share			
Basic and diluted		(1.51)	(0.20)
Nominal value of share		10	10
Weighted average number of shares		83,617,276	63,298,797

Summary of significant accounting policies

The accompanying notes are an integral part of the financial statements

As per our report of even date
For S.R. BATLIBOI & ASSOCIATES LLP
ICAI Firm registration number: 101049W
Chartered Accountants


Per Navneet Rai Kabra
Partner
Membership No. 102328



For and on behalf of the Board of Directors
Granules Omnichem Private Limited


Gwinnett Bompas
Director


C. Krishna Prasad
Director

Place: Hyderabad
Date: April 25, 2016

Place: Hyderabad
Date: April 25, 2016



Granules Omnichem Private Limited

Cash flow statement for the year ended March 31, 2016

(All amounts in Indian Rupees, except otherwise stated)

	March 31 2016	March 31 2015
Cash flows from operating activities		
Loss before tax	(126,617,171)	(12,747,422)
Adjustments for:		
Unrealised foreign exchange (gain)/loss	32,123,724	(18,812,706)
Interest income	(7,331,012)	(1,218,356)
Depreciation expense	75,753,163	-
Interest expense	46,921,543	7,809,722
Loss on sales of assets under construction	73,566	906,892
Operating loss before working capital changes	20,923,813	(24,061,870)
Movements in working capital:		
Increase in trade payables	4,754,463	15,987,761
Increase/(decrease) in other liabilities	828,838,189	(527,814)
Increase in trade receivables	(67,111,928)	-
Increase in inventories	(759,360,292)	(41,664,545)
Increase in other assets	(32,350,732)	(1,407,119)
Increase/(decrease) in provisions	252,821	(745,008)
Increase in loans and advances	(36,022,829)	(2,417,412)
Cash generated used in operations	(40,076,495)	(54,836,007)
Direct taxes received/(paid) (net)	142,901	(7,147,046)
Net cash generated used in operating activities	A (39,933,594)	(61,983,053)
Cash flows from investing activities		
Purchase of fixed assets including capital work in progress	(25,237,643)	(295,691,713)
Interest received	6,912,084	13,001,153
Investment in bank deposits	-	(167,000)
Dividend received	-	4,817,133
Proceeds from sales of capital work-in-progress/fixed assets	12,600	5,017,319
Net cash used in investing activities	B (18,312,959)	(273,023,108)
Cash flows from financing activities		
Proceeds from borrowings	-	2,254,393
Repayment of borrowings	(713,081)	(407,835)
Increase in share capital	103,000,000	340,619,340
Interest paid during the year	(59,537,405)	(68,309,224)
Net cash generated from financing activities	C 42,749,514	274,156,674
Net decrease in cash and cash equivalents	(A+B+C) (15,497,039)	(60,849,487)
Cash and cash equivalents at the beginning of the year	68,711,857	129,561,344
Cash and cash equivalents at the end of the year	53,214,818	68,711,857
Components of cash and bank balances		
Cash on hand	21,165	18,847
With banks on current accounts	31,426,549	12,916,373
On deposit accounts	21,767,104	55,776,637
Total cash and bank balances (refer note 15)	53,214,818	68,711,857

Summary of significant accounting policies

2.1

The accompanying notes are an integral part of the financial statements

* As at March 31, 2015, cost of an inventory amounting to Rs.41,664,545 was classified under capital work in progress. The same has been reclassified to inventory in comparative of current year.

As per our report of even date

For S.R. BATLIBOI & ASSOCIATES LLP

ICAI Firm registration number: 101049W

Chartered Accountants

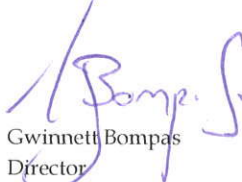

Per Navneet Rai Kabra
Partner

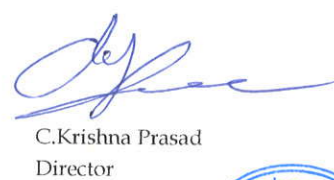
Membership No. 102328



For and on behalf of the Board of Directors

Granules Omnichem Private Limited


Gwinnett Bompas
Director


C. Krishna Prasad
Director

Place: Hyderabad

Date: April 25, 2016

Place: Hyderabad

Date: April 25, 2016



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

CIN: U24233AP2011PTC076274

(All amounts in Indian Rupees, unless otherwise stated)

3. Share capital

	March 31, 2016	March 31, 2015
Authorised shares		
9,50,00,000 (March 31, 2015: 9,50,00,000) equity shares of Rs 10/- each	950,000,000	950,000,000
	950,000,000	950,000,000
Issued and subscribed shares		
85,761,934 shares (March 31, 2015: 85,761,934) equity shares of Rs 10/- each	857,619,340	857,619,340
Paid up shares		
85,761,934 (March 31, 2015: 65,161,934) equity shares of Rs.10 each fully paid up	857,619,340	651,619,340
NIL (March 31, 2015: 20,600,000) equity shares of Rs. 10 each paid up at Rs. 5 per share	-	103,000,000
Total paid-up share capital	857,619,340	754,619,340

(a) Reconciliation of the shares outstanding at the beginning and at the end of the year

	March 31, 2016		March 31, 2015	
Equity shares	Nos.	Amount	Nos.	Amount
At the beginning of the year	85,761,934	754,619,340	41,400,000	414,000,000
Call money received during the year	-	103,000,000	44,361,934	340,619,340
Outstanding, at the end of the year	85,761,934	857,619,340	85,761,934	754,619,340

(b) Terms/ rights attached to equity shares

The Company has only one class of equity shares having par value of Rs.10/- per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividend in Indian Rupees. The dividend proposed by Board of Directors is subject to the approval of the shareholders in ensuing Annual General Meeting. The Company has not declared any dividend in the current and previous year. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(c) Details of shareholders holding more than 5% shares in the Company

	March 31, 2016		March 31, 2015	
Equity shares	No's	% holding	No's	% holding
SA Ajinomoto OmniChem NV	42,880,967	50%	42,880,967	50%
Granules India Limited	42,880,967	50%	42,880,967	50%

As per records of the Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownerships of shares.

4. Reserves and surplus

	March 31, 2016	March 31, 2015
Deficit in the statement of profit and loss		
Balance, at the beginning of the year	(32,516,656)	(19,769,234)
Loss for the year	(126,617,171)	(12,747,422)
Net deficit in the statement of profit and loss	(159,133,827)	(32,516,656)



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

CIN: U24233AP2011PTC076274

(All amounts in Indian Rupees, unless otherwise stated)

5. Long term borrowings

	Long-term		Short-term	
	March 31, 2016	March 31, 2015	March 31, 2016	March 31, 2015
Secured				
Foreign currency term loans from banks	-	1,209,600,000	-	-
Vehicle loan from financial institution	345,775	1,135,393	787,702	711,165
Unsecured				
Foreign currency term loans from banks	1,244,017,500	-	113,092,500	-
Total	1,244,363,275	1,210,735,393	113,880,202	711,165
Less: Current maturities (Amount disclosed under the head "other current liabilities" (refer note 8))			(113,880,202)	(711,165)

Foreign currency loans during the previous year represents loans obtained from DEG-Deutsche Investitions-und Entwicklungsgesellschaft MbH, Germany and ING Vysya Bank, Singapore Branch. Loan from DEG-Deutsche Investitions-und Entwicklungsgesellschaft MbH, Germany was repayable in twelve equal half yearly instalments commencing from January 15, 2017 and carried an interest rate of EURIBOR plus 4.70 % per annum. Loan from ING Vysya Bank, Singapore Branch was repayable in eight equal half yearly instalments commencing from January 15, 2017 and carried an interest rate of EURIBOR plus 4.00 % per annum. The loans were secured by way of first ranking pari passu charge over all immovable and movable fixed assets (both present and future) of the Company. Further the loan were also secured by way of first demand payment guarantees (jointly and severally) from the sponsors i.e. Granules India Limited and SA Ajinomoto OmniChem NV.

During the current year, the Company has refinanced the said loans with The Bank of Tokyo-Mitsubishi UFJ LTD and Mizhou Bank Limited. The new loans are repayable in twelve equal half yearly instalments commencing from January 15, 2017 and carry an interest rate of EURIBOR plus 0.60% per annum. The loans are secured by way of first demand payment guarantees (jointly and severally) from the sponsors i.e. Granules India Limited and SA Ajinomoto OmniChem NV. Vehicle loan from financial institution, secured by charge over vehicle, is repayable in 36 monthly installments and carries interest rate of 10.27% per annum.

6. Provisions

	Long-term		Short-term	
	March 31, 2016	March 31, 2015	March 31, 2016	March 31, 2015
Provision for employee benefits				
Provision for leave benefits	-	-	1,302,690	1,171,935
Provision for gratuity	134,806	21,467	8,727	-
Total	134,806	21,467	1,311,417	1,171,935

7. Trade payables

	March 31, 2016	March 31, 2015
Dues to other than micro, small and medium enterprises	27,634,907	22,880,444
Total	27,634,907	22,880,444

8. Other liabilities

	March 31, 2016	March 31, 2015
Current maturities of long term borrowings (note 5)	113,880,202	711,165
Capital creditors	8,824,812	51,970,788
Interest accrued but not due on borrowing	1,786,862	11,386,574
Retention money	-	6,461,961
Other statutory dues	1,475,443	1,459,608
Advances from customers	861,245,510	238,103,024
Total	987,212,829	310,093,120



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

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(All amounts in Indian Rupees, unless otherwise stated)

10. Capital Work-in-Progress*

During the year, the Company has capitalized the following expenses of revenue nature to the cost of fixed asset/ capital work-in-progress (CWIP).

		March 31, 2016	March 31, 2015
Construction Work-in-Progress (Including raw material used for trial run)	A	7,252,842	1,696,248,014
Balance brought forward		572,857,153	396,984,956
Capitalisation of exchange differences		130,410,000	(276,777,000)
Expenditure during construction period			
- Employee Benefit expenses (refer note 19)		19,960,983	62,652,716
- Other Expenses (refer note 20)		44,375,728	79,937,802
- Finance Charges (refer note 21)		4,249,800	60,244,717
- Depreciation and Amortisation (refer note 22)		29,555,795	11,849,687
	(i)	801,409,459	334,892,878
Less: Trial run income, interest and other income	(ii)	348,343,051	54,431,244
	B (i-ii)	453,066,408	280,461,634
Less: Capitalised during the year	C	(452,494,323)	(1,403,852,495)
	(A+B+C)	7,824,927	572,857,153

* As at March 31, 2015, cost of an inventory amounting to Rs.41,664,545 was classified under capital work in progress. The same has been reclassified to inventory in comparative of current year.

11. Loans and advances

	Non-current		Current	
	March 31, 2016	March 31, 2015	March 31, 2016	March 31, 2015
Unsecured				
Capital advances				
Considered good	2,419,019	694,241	-	-
Considered doubtful	1,285,400	1,285,400	-	-
	3,704,419	1,979,641	-	-
Less: Provision for Doubtful Advances	(1,285,400)	(1,285,400)	-	-
(A)	2,419,019	694,241	-	-
Security Deposits- considered good	7,679,700	3,243,000	142,500	232,000
Other loans and advances				
Unsecured, considered good				
Advance income-tax (net of provision for taxation)	623,695	766,596	-	-
Advances recoverable in cash or in kind	-	-	31,323,460	422,345
Prepaid expenses	133,333	238,139	2,306,764	1,474,328
Balances with statutory/ government authorities	46,884	-	-	-
(C)	803,912	1,004,735	33,630,224	1,896,673
Total (A+B+C)	10,902,631	4,941,976	33,772,724	2,128,673

12. Other assets

	Non-current		Current	
	March 31, 2016	March 31, 2015	March 31, 2016	March 31, 2015
Unsecured considered good				
Non- current bank balances (note 15)	2,717,000	2,717,000	-	-
Unamortised Ancilliary costs of arranging borrowings	14,261,623	16,243,822	2,675,665	3,369,131
Interest accrued on fixed deposits	-	-	1,896,819	1,477,891
Insurance claim receivable	-	-	38,738,591	-
Other receivables				
To related parties	-	-	615,169	4,327,363
Total	16,978,623	18,960,822	43,926,244	9,174,385



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

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13. Trade receivables

	March 31, 2016	March 31, 2015
Outstanding for a period not exceeding six months from the date they are due for payment		
Unsecured considered good	67,411,360	-
Total	67,411,360	-

Trade receivables include dues from related party:

	March 31, 2016	March 31, 2015
SA Ajinomoto OmniChem NV	65,731,669	-

14. Inventory (valued at lower of cost and net realizable value)*

	March 31, 2016	March 31, 2015
Raw materials	245,451,642	36,672,983
Packing material	370,119	122,125
Stores, spares and consumables	9,726,026	4,869,437
Work-in-progress	497,870,207	-
Finished goods	47,606,843	-
Total	801,024,837	41,664,545

* As at March 31, 2015, cost of an inventory amounting to Rs. 41,664,545 was classified under capital work in progress. The same has been reclassified to inventory in comparative of current year.

15. Cash and bank balances

	Non-current		Current	
	March 31, 2016	March 31, 2015	March 31, 2016	March 31, 2015
Cash and cash equivalents				
Balances with banks:				
- On current accounts	-	-	31,426,549	12,916,373
- Deposits with original maturity of less than 3 months	-	-	10,079,180	45,003,000
Cash on hand	-	-	21,165	18,847
	-	-	41,526,894	57,938,220
Other bank balances				
- Deposits with remaining maturity for less than 12 months	-	-	11,687,924	10,773,637
- Margin money deposit	2,717,000	2,717,000	-	-
	2,717,000	2,717,000	11,687,924	10,773,637
Amount disclosed under non current assets (Refer note 12)	(2,717,000)	(2,717,000)	-	-
Total	-	-	53,214,818	68,711,857

16. Revenue from operations

	March 31, 2016	March 31, 2015
Sale of products	480,380,194	37,073,402
Other operating revenue		
Sale of by products	10,529,171	2,475,390
Total	490,909,365	39,548,792
Transfer to Statement of profit and loss	142,566,314	-
Transferred to Capital work in progress	348,343,051	39,548,792



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

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(All amounts in Indian Rupees, unless otherwise stated)

17. Other Income

	March 31, 2016	March 31, 2015
Interest		
-on bank deposit	6,803,382	7,457,574
-on others	527,630	232,496
Dividend income on current investment	-	4,817,133
Miscellaneous income	1,633,944	3,357,189
Exchange difference (net)	-	19,198,745
Reversal of provision for gratuity	-	419,025
Total	8,964,956	35,482,162
Transfer to Statement of profit and loss	8,964,956	20,599,711
Transferred to Capital work in progress	-	14,882,451

18. Changes in inventories of finished goods and Work in process

	March 31, 2016	March 31, 2015
Inventories at the end of the year		
Finished Goods	47,606,843	-
Work in Process	497,870,207	-
Total		
Inventories at the beginning of the year		
Finished Goods	-	-
Work in Process	-	-
Total		
Net increase in inventory	(545,477,050)	-

19. Employee benefit expenses

	March 31, 2016	March 31, 2015
Salaries, wages and bonus	56,586,992	63,339,908
Contribution Provident Fund and other funds	2,266,169	1,813,112
Gratuity	122,066	-
Staff Welfare	2,411,458	2,244,804
Total	61,386,685	67,397,824
Transferred to Statement of Profit and Loss	41,425,702	4,745,108
Transferred to Capital work in progress	19,960,983	62,652,716



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

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(All amounts in Indian Rupees, unless otherwise stated)

20. Other Expenses

	March 31, 2016	March 31, 2015
Power and fuel	58,438,126	46,462,782
Manpower hire charges	15,547,298	11,420,805
Water charges	3,067,084	2,043,509
Communication costs	1,413,948	1,288,209
Effluent treatment charges	2,105,660	1,101,962
Insurance	3,193,355	2,212,425
Payment to auditor:		
-For statutory audit fee	1,000,000	1,000,000
-Reimbursement of expenses	22,550	36,956
Professional and consultancy charges	2,324,860	4,507,802
Printing and stationery	1,204,383	1,268,350
Rates and taxes	2,390,385	5,066,454
Rent	1,772,656	2,348,759
Repairs and maintenance		
-Buildings	2,590,946	1,115,245
-Others	9,939,489	3,465,403
Security charges	2,819,689	2,895,677
Exchange Loss	42,505,165	-
Travel and conveyance	5,566,406	7,280,925
Loss on sale of assets/ discard of assets	73,566	906,892
Stores, Spares and consumables	28,813,399	-
Miscellaneous expenses	3,902,108	1,472,061
Total	188,691,073	95,894,216
Transferred to Statement of Profit and Loss	144,315,345	15,956,414
Transferred to Capital Work-in-Progress	44,375,728	79,937,802

21. Finance costs

	March 31, 2016	March 31, 2015
Interest on term loans	49,937,693	64,825,257
Interest on others	157,228	103,764
Bank charges	16,184,272	361,844
Amortisation of ancilliary borrowing costs	2,675,665	3,369,131
Total	68,954,858	68,659,996
Transferred to Statement of Profit or loss	64,705,058	8,415,278
Transferred to Capital work in progress	4,249,800	60,244,717

22. Depreciation and Amortisation

	March 31, 2016	March 31, 2015
Amortisation - Leasehold Land	1,532,166	1,532,197
Depreciation - Tangible assets	103,776,792	14,547,823
Total	105,308,958	16,080,020
Transferred to Statement of Profit or loss	75,753,163	4,230,333
Transferred to Capital work in progress	29,555,795	11,849,687



Granules Omnichem Private Limited

Notes to financial statements for the year ended March 31, 2016

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9. Tangible assets

	Leasehold Land	Buildings	Plant and Machinery	Lab Equipment	Electrical installations	Office Equipment	Computers and servers	Furniture and fixtures	Vehicles	Total
Cost										
As at April 1, 2014	151,687,500	-	-	-	-	550,209	1,611,367	1,463,626	3,936,441	159,249,143
Additions	-	535,600,321	596,011,643	31,980,633	170,954,273	10,686,056	33,297,421	28,749,204	2,230,968	1,409,510,519
Disposals	-	-	-	-	-	-	-	-	-	-
As at March 31, 2015	151,687,500	535,600,321	596,011,643	31,980,633	170,954,273	11,236,265	34,908,788	30,212,830	6,167,409	1,568,759,662
Additions	-	42,369,104	415,773,247	-	1,311,600	236,350	19,723,279	1,502,495	-	480,916,075
Disposals	-	-	-	-	-	44,150	-	113,270	-	157,420
As at March 31, 2016	151,687,500	577,969,425	1,011,784,890	31,980,633	172,265,873	11,428,465	54,632,067	31,602,055	6,167,409	2,049,518,317
Depreciation/Amortisation										
As at April 1, 2014	3,064,394	-	-	-	-	29,119	278,137	200,227	542,133	4,114,010
Charge for the year	1,532,197	3,012,103	4,670,601	491,100	2,625,202	658,270	1,847,812	606,681	636,054	16,080,020
Disposals	-	-	-	-	-	-	-	-	-	-
As at March 31, 2015	4,596,591	3,012,103	4,670,601	491,100	2,625,202	687,389	2,125,949	806,908	1,178,187	20,194,030
Charge for the year	1,532,197	20,503,911	49,047,095	3,038,160	16,314,261	2,150,992	9,127,699	2,823,717	770,926	105,308,958
Disposals	-	-	-	-	-	12,919	-	58,335	-	71,254
As at March 31, 2016	6,128,788	23,516,014	53,717,696	3,529,260	18,939,463	2,825,462	11,253,648	3,572,290	1,949,113	125,431,734
Net Block										
As at March 31, 2015	147,090,909	532,588,218	591,341,042	31,489,533	168,329,071	10,548,876	32,782,839	29,405,922	4,989,222	1,548,565,632
As at March 31, 2016	145,558,712	554,453,411	958,067,194	28,451,373	153,326,410	8,603,003	43,378,419	28,029,765	4,218,296	1,924,086,583



1. Corporate information

Granules Omnicem Private Limited ('the Company') incorporated on September 2, 2011 as a 50:50 Joint venture between Granules India Limited, India and SA Ajinomoto Omnicem N.V, Belgium. The Company is engaged in the business of manufacture and sale of pharmaceutical intermediates and active pharmaceutical ingredients (APIs) and has a plant at Ramky Pharma City - SEZ situated in Visakhapatnam, Andhra Pradesh.

2. Basis of preparation

The financial statements of the company have been prepared in accordance with the generally accepted accounting principles in India (Indian GAAP). The company has prepared these financial statements to comply in all material respects with the accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014. The financial statements have been prepared on an accrual basis and under the historical cost convention. The accounting policies adopted in the preparation of financial statements are consistent with those of previous year.

The Ministry of Corporate Affairs has notified the Companies (Accounting Standards) Amendment Rules, 2016, through publication in the Official Gazette dated March 30, 2016. The Gazette states that these rules are applicable from the date of notification in the Official Gazette. However, the original notification dated December 07, 2006 for notifying accounting standards states that "the Accounting Standards shall come into effect in respect of accounting periods commencing on or after the publication of these Accounting Standards". Accordingly, the Company has decided to apply these amendments from financial year beginning April 1, 2016.

2.1 Summary of significant accounting policies

a. Use of estimates

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

b. Property, Plant and Equipment

Fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses, if any. Cost comprises the purchase price, borrowing costs if capitalization criteria are met, directly attributable cost of bringing the asset to its working condition for the intended use and trial run expenses (net of revenue). Any Trade discounts and rebates are deducted in arriving at the purchase price.

Gains and losses arising from de-recognition of fixed assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

The Company adjusts exchange differences arising on translation/ settlement of long-term foreign currency monetary items pertaining to the acquisition of a depreciable asset to the cost of the asset and depreciates the same over the remaining life of the asset. In accordance with MCA circular dated 09 August 2012, exchange differences adjusted to the cost of fixed assets are total differences, arising on long-term foreign currency monetary items pertaining to the acquisition of a depreciable asset, for the period. In other words, the Company does not differentiate between exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost and other exchange difference



c. Depreciation on plant, property and equipment

Depreciation on plant, property and equipment is calculated on a straight-line basis using the rates arrived at, based on the useful lives estimated by the management. The identified components are depreciated separately over their useful lives; the remaining components are depreciated over the life of the principal asset. The company has used the following rates to provide depreciation on its plant, property and equipment.

Particulars	Useful lives estimated by the management (years)
Buildings	10-60
Plant and Machinery	10-20
Laboratory Equipment	10
Electrical Installations	10
Office equipment	5
Computers and servers	3-6
Furniture and fixtures	10
Vehicles	8

Leasehold land is amortized on a straight line basis over the extended period of lease. i.e. 99 years.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

d. Leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased term are classified as operating lease. Operating lease payments are recognized as an expense in the statement of profit and loss on straight line basis over the lease term.

e. Impairment

The carrying amounts of assets are reviewed at each balance sheet date if there is any indication of impairment based on internal/ external factors. An impairment loss is recognized wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is greater of the assets net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital.

After impairment, depreciation is provided on the revised carrying amount of the assets over its remaining useful life.

A previously recognised impairment loss is increased or reversed depending on changes in circumstances. However the carrying value after reversal is not increased beyond the carrying value that would have prevailed by charging usual depreciation if there was no impairment.

f. Inventories

Raw materials, packing material, stores and spares are valued at lower of cost and net realizable value. However, materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost. Cost of raw materials, components and stores and spares is determined on a weighted average basis. Stores and spares which do not meet the definition of plant, property and equipment are accounted as inventories.



Work-in-progress and finished goods are valued at lower of cost and net realizable value. Cost includes direct materials and labour and a proportion of manufacturing overheads based on normal operating capacity. Cost is determined on a weighted average basis.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.

g. Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognized:

Sale of goods

Revenue from sale of goods is recognized when all the significant risks and rewards of ownership of the goods have been passed to the buyer, usually on delivery of the goods and is net of taxes wherever applicable.

Interest

Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate. Interest income is included under the head "other income" in the statement of profit and loss.

Dividend

Dividend is recognized as and when the Company's right to receive payment is established by the reporting date.

h. Foreign currency translation

Foreign currency transactions and balances

(i) Initial recognition

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(ii) Conversion

Foreign currency monetary items are retranslated using the exchange rate prevailing at the reporting date. Non-monetary items, which are measured in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of the transaction.

(iii) Exchange differences

The Company accounts for exchange differences arising on translation/ settlement of foreign currency monetary items as below:

- a) Exchange differences arising on long-term foreign currency monetary items related to acquisition of a fixed asset are capitalized and depreciated over the remaining useful life of the asset.
- b) All other exchange differences are recognized as income or as expenses in the period in which they arise.



For the purpose of "a" above, the Company treats a foreign monetary item as "Long term foreign currency monetary item, if it has a term of 12 months or more at the date of its origination. In accordance with MCA circular dated August 09, 2012, exchange differences for this purpose, are total differences arising on long-term foreign currency monetary items for the period. In other words, the Company does not differentiate between exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost and other exchange difference.

i. Borrowing costs

Borrowing cost includes interest and amortization of ancillary costs incurred in connection with the arrangement of borrowings.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective asset. All other borrowing costs are expensed in the period they occur.

j. Retirement and other employee benefits

Retirement benefit in the form of provident fund is a defined contribution scheme. The Company has no obligation, other than contribution payable to the provident fund. The Company recognizes contribution payable to the provident fund scheme as expenditure, when an employee renders related service.

Gratuity liability is a defined benefit obligation and the cost of providing the benefits under this plan is determined on the basis of actuarial valuation at each year-end. Actuarial valuation is carried out for this plan using the projected unit credit method. Actuarial gains and losses for defined benefits plan is recognized in full in the period in which they occur in the statement of profit and loss.

Accumulated leave, which is expected to be utilized within the next 12 months, is treated as short term employee benefit. The Company measures the expected cost of such absences as the additional amount that it expects to pay as a result of the unused entitlement that has accumulated at the reporting date.

The Company treats accumulated leave expected to be carried forward beyond twelve months, as long-term employee benefit for measurement purposes. Such long-term compensated absences are provided for based on the actuarial valuation using the projected unit credit method at the year-end. Actuarial gains/losses are immediately taken to the statement of profit and loss and are not deferred. The Company presents the leave as a current liability in the balance sheet, to the extent it does not have an unconditional right to defer its settlement for 12 months after the reporting date.

k. Earnings Per Share

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period. Partly paid equity shares are treated as a fraction of an equity share to the extent that they are entitled to participate in dividends relative to a fully paid equity share during the reporting period. The weighted average number of equity shares outstanding during the period is adjusted for events such as bonus issue, bonus element in a rights issue, share split, and reverse share split (consolidation of shares) that have changed the number of equity shares outstanding, without a corresponding change in resources.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.



l. Provisions

A provision is recognized when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

m. Income Taxes

Tax expense comprises current and deferred taxes. Current income-tax is measured at the amount expected to be paid to the tax authorities in accordance with the Income-tax Act, 1961 enacted in India and tax laws prevailing in the respective tax jurisdictions where the Company operates. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date. Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit and loss.

Deferred tax liabilities are recognized for all taxable timing differences. Deferred tax assets are recognized for deductible timing differences only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realized. In situations where the Company has unabsorbed depreciation or carry forward tax losses, all deferred tax assets are recognized only if there is virtual certainty supported by convincing evidence that they can be realized against future taxable profits.

At each reporting date, the Company re-assesses unrecognized deferred tax assets. It recognizes unrecognized deferred tax asset to the extent that it has become reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realized.

The carrying amount of deferred tax assets are reviewed at each reporting date. The Company writes-down the carrying amount of deferred tax asset to the extent that it is no longer reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which deferred tax asset can be realized. Any such write-down is reversed to the extent that it becomes reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available.

n. Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

o. Cash and cash equivalents

Cash and cash equivalents for the purposes of cash flow statement comprise cash at bank and in hand and short-term investments with an original maturity of three months or less.



23. Capital and Other commitments

Estimated amount of contracts remaining to be executed on capital account and not provided for Rs. 3,195,000 [31 March 2015: Rs. 4,188,887].

24. Related Party Transactions

a. Names of related parties and their relationship

Related parties with whom transactions have taken place during the year

Joint Venturer	Granules India Limited
Joint Venturer	SA Ajinomoto OmniChem N.V
Key Managerial Personnel	Gulshan Kumar Kapoor, CEO#
Key Managerial Personnel	Mr. K.V.V Raju, CEO \$

Up to August, 14, 2015

\$ Appointed with effect from August 1, 2015

b. Related party transactions during the year:

Particulars	March 31, 2016	March 31, 2015
i. Transaction during the year		
Allotment of Equity Shares		
Granules India Limited	-	170,309,670
SA Ajinomoto OmniChem N.V	-	170,309,670
Call money received		
Granules India Limited	51,500,000	-
SA Ajinomoto OmniChem N.V	51,500,000	-
Purchases of raw materials for trial run production		
Granules India Limited	-	601,180
Sales of assets under construction		
Granules India Limited	-	1,691,127
Sale of raw material		
Granules India Limited	473,986	-
Advance from customers		
SA Ajinomoto OmniChem N.V	830,499,751	256,440,597
Sales of goods		
SA Ajinomoto OmniChem N.V	480,380,194	37,073,402
Remuneration to Key Managerial Personnel*		
Gulshan Kumar Kapoor	2,900,844	9,858,051
Mr. K. V. V Raju	6,714,403	-



Particulars	March 31, 2016	March 31, 2015
ii. Receivable / (Payable) balance (net)		
Granules India Limited**	615,169	(368,298)
SA Ajinomoto OmniChem N.V.**	(795,219,600)	(233,666,113)
Gulshan Kumar Kapoor	-	(3,000,000)
Mr. K.V.V. Raju	(1,666,667)	-

* As the future liability for gratuity and leave encashment is provided on an actuarial basis for the Company as a whole, the amount pertaining to the key management personnel is not ascertainable and therefore not included above.

** The Company has availed term loans from foreign banks which are secured by first demand payment guarantees from the sponsors i.e. Granules India Limited and S.A. Ajinomoto OmniChem N.V. The closing balance of such loans as at March 31, 2016 is Rs. 1,357,110,000 (March 31, 2015: Rs. 1,209,600,000)

25. Retirement benefits

The Company has a defined benefit gratuity plan. Every employee who has completed five years or more of service is eligible for gratuity on retirement or separation at the rate of 15 days' last drawn basic salary for each completed year of service. The scheme is funded with an insurance company.

The following tables summarize the components of net benefit expense recognized in the statement of profit and loss and the funded status and amounts recognized in the balance sheet.

A. Net employee benefit expenses (recognized in employee benefit expenses)

	For the year ended March 31, 2016	For the year ended March 31, 2015
Current service cost	790,860	551,630
Interest cost	59,586	96,682
Net actuarial (gain)/loss recognized for the year	(669,295)	(1,067,337)
Expected return on plan assets	(59,085)	-
Expenses recognized in the statement of Profit and Loss	122,066	(419,025)

B. Benefit asset/liability (Balance sheet)

	March 31, 2016	March 31, 2015
Present value of defined benefit obligation	(936,255)	(760,028)
Fair value of plan assets	792,722	738,561
Plan asset/(liability)	(143,533)	(21,467)

C. Changes in the present value of the defined benefit obligation

	March 31, 2016	March 31, 2015
Opening defined benefit obligation	760,028	11,79,053
Interest cost	59,586	96,682
Current service cost	790,860	551,630
Actuarial (gain)/loss on obligation	(674,219)	(10,67,337)
Closing defined benefit obligation	936,255	760,028



D. Changes in the fair value of plan assets

	March 31, 2016	March 31, 2015
Opening fair value of plan assets	738,561	-
Contributions by employer	-	738,561
Expected rate of return	59,085	29,542
Actuarial gains/(losses)	(4,924)	(29,542)
Closing fair value of plan assets	792,722	738,561

E. The principal assumptions used in determining gratuity obligation for the Company's plans are shown below:

	March 31, 2016	March 31, 2015
Discount Rate	7.51%	7.84%
Expected average remaining working lives of Employees (years)	2.91	2.87
Future salary growth rate	12.50%	12.50%
Expected return on plan assets	8.00%	8.00%

The estimate of future salary increases, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

The overall expected rate of return on assets is determined based on the market prices prevailing on that date, applicable to the period over which the obligation is to be settled.

F. Amounts for the current and previous periods are as follows:

	March 31, 2016	March 31, 2015	March 31, 2014	March 31, 2013
Defined benefit obligation	936,255	760,028	1,179,053	171,787
Actual return on Plan Assets	54,161	-	-	-
Contributions	-	738,561	-	-
Benefit Paid	-	-	-	-
Fair value of Plan Assets at the end of the period	792,722	738,561	-	-
Surplus/(deficit)	(143,533)	(21,467)	(1,179,053)	(171,787)

26. Operating Lease:

The Company has taken premises on operating lease. Lease payment recognised in the statement of Profit and Loss Account for the year ended March 31, 2016 is Rs. 1,772,656 (March 31, 2015: Rs. 2,348,759). Lease agreements impose no restrictions. There are no subleases.



27. Derivative instruments and un-hedged foreign currency exposure:

- a) There are no outstanding derivative contracts as at March 31, 2016 and March 31, 2015.
b) Particulars of Unhedged foreign currency exposure is as follows:

	March 31, 2016	March 31, 2015
Capital creditors	-	3,931,200
Trade payable	460,472	22,760,000
Other current assets	-	4,281,863
Other Liabilities	1,786,862	11,386,574
Borrowings	1,357,110,000	1,209,600,000
Advances received from customer	860,951,269	237,947,976
Trade receivables	65,731,669	-
Bank balances	-	263,262

28. Earnings in foreign currency

	March 31, 2016	March 31, 2015
Exports on F.O.B basis*	480,380,194	37,073,404

* An amount of Rs.344,834,182 (March 31, 2015: Rs.37,073,404) has been included in trial run income under Capital work-in-progress

29. Expenditure in foreign currency:*

	March 31, 2016	March 31, 2015
Bank charges	15,554,132	-
Travelling expenses	56,523	315,739
Interest on term loans	49,937,693	64,825,257
Miscellaneous expenses	460,332	-

* Amount disclosed includes amount transferred to Capital work-in-progress

30. C.I.F value of imports

	March 31, 2016	March 31, 2015
Raw material	194,979,849	-
Capital Goods*	2,369,100	115,330,162

* Includes raw material procured for trial run

31. Imported and indigenous raw materials, components and spare parts consumed

	% of total consumption 31 March 2016	Value (Rs)
Raw Materials		
Imported	15%	72,905,708
Indigenously obtained	85%	424,520,515
	100%	497,426,223
Stores, spares and consumables		
Imported	0%	81,672
Indigenously obtained	100%	28,731,727
	100%	28,813,399



32. Capitalization of exchange differences

The Ministry of Corporate Affairs (MCA) has issued an amendment dated December 29, 2011 to Accounting Standard-11 "The Effects of Changes in Foreign Exchange Rates" allowing companies to capitalize exchange difference arising on long-term foreign currency monetary items. In accordance with the said amendment, the Company has capitalized during the year, an exchange loss of Rs. 147,510,000 (March 31, 2015: Exchange gain of Rs. 276,777,000) arising on long-term foreign currency loan.

33. Segment reporting

The Company's operations fall within a single business segment "Manufacture and sale of pharmaceutical intermediates and active pharmaceutical ingredients (APIs)". Hence, no separate financial disclosures provided in respect of its single business segment.

Information in respect of secondary segment:

Segment revenue*

	March 31, 2016	March 31, 2015
Outside India	480,380,194	37,073,402
Within India	10,529,171	2,475,390
	490,909,365	39,548,792

*Includes revenue transferred to Capital work in progress.

Segment assets (trade receivables)*

	March 31, 2016	March 31, 2015
Outside India	65,731,669	-
Within India	1,679,691	-
	67,411,360	-

*Other assets including fixed assets are located in India

34. Based on the information available with the Company, there are no suppliers who are registered as micro, small or medium enterprises under "The Micro, Small and Medium Enterprises Development Act, 2006" as at March 31, 2016 and March 31, 2015.
35. As per the transfer pricing rules prescribed under the Income Tax Act, 1961, the Company is examining the international transactions and documentation in respect thereof to ensure compliance with the said rules. The management does not anticipate any material adjustment with regard to the transactions involved.



36. Previous year figures have been regrouped/reclassified, where necessary, to conform to this year's classification.

As per our report of even date

For S.R. Batliboi & Associates LLP
ICAI Firm registration number: 101049W
Chartered Accountants


per Navneet Rai Kabra
Partner
Membership no.: 102328



Place: Hyderabad
Date: April 25, 2016

For and on behalf of the board of directors of Granules
Omnichem Private Limited


Gwinnett Bompas
Director

Place: Hyderabad
Date: April 25, 2016


C. Krishna Prasad
Director

